

Price can break out in any direction but leans toward a downward one.

Focus on Failures

[Figure 12.4](#) shows what a failure looks like. Although price breaks out downward from the wedge, the stock fails to continue moving lower. The breakout occurs at a price of 50.13 and price drops to a low of 48.63 about 2 weeks later, resulting in a 3% decline—too small to register as a success.

Any breakout move no more than 5% I consider a failure (a 5% failure). After a downward breakout, you'll often see price struggle to drop. Maybe it's because price trends upward in the pattern (both trendlines tilt up) so there's buying demand waiting under the stock to keep the uptrend going. A downward breakout smashes into that buying demand, surprising and overpowering the sellers, and price rises.

Left behind is a meager drop. Of course, that's not always the case. If fundamentals deteriorate or if a large stockholder wants to dump their position (now!), it could send price plummeting. Swing traders and momentum players will join the fun and help push price lower.

However, the numbers suggest that this chart pattern sees price struggle to drop. Indeed, 31% fail to see price decline more than 5% after a downward breakout. That's good news for longer term holders of the stock (like buy-and-hold investors). If the decline after an ascending broadening wedge is meager, then why worry?